

Refined Business Canvas - Codefi Farm

Financial Planning

Overview

This Refined Business Canvas incorporates validation insights from three debate rounds synthesizing: Problem Interviews Analysis (5 customer archetypes, 100% problem validation), Desirability Validation (expert panel, trust-building strategy), Viability Validation (unit economics, financial projections, validation gates), and Feasibility Validation (technical/operational achievability). Each section shows evolution from original Business Canvas to validated, evidence-based version. Strategic shifts: Benchmarking-first UVP, honest MVP scope (rules-based, not LLM), co-op-primary channel strategy, Year 1 vs. Year 2+ defensibility, diagnostic metrics replacing vanity metrics.

1. Problem

ORIGINAL: 'Farm financial uncertainty (lack real-time visibility), Limited decision support (no scenario tools), Data silos (scattered across lenders/extension/spreadsheets), Existing Alternatives: Spreadsheets, advisor calls, legacy software, gut instinct.'

VALIDATION INSIGHTS: Problem Interviews (5/5 farmers), Desirability panel consensus, and Viability analysis revealed: (1) Cash flow timing urgency (3/5 farmers mentioned March payments vs. November revenue = 8-month carrying costs affecting margins), (2) Downside scenario criticality (4/5 demanded worst-case modeling for risk management, not optimization), (3) Independent analysis gap (5/5 lack data to push back on advisors; stated 'don't have ammunition to negotiate'), (4) Existing alternatives are not 'nothing' but fragmented tools (\$200-300/month total, 60-70% ineffective for input decisions).

REFINED: Five core problems—(1) Per-field profitability visibility, (2) Cash flow timing urgency (March/November gap), (3) Downside risk management (commodity/yield risk), (4) Limited decision support + independent analysis gap (advisor negotiation), (5) Data silos. Existing Alternatives: Fragmented tools (QuickBooks, DTN, co-op services, precision ag), spreadsheets, advisor calls, gut instinct.

2. Customer Segment

ORIGINAL: 'Mid-scale farmers (500-5,000 acres), Midwest/Missouri. Active input decision-makers. Early Adopters: farmers working with extension/co-ops/lenders, digitally-forward, seeking competitive edge.'

VALIDATION INSIGHTS: Problem Interviews identified buyer hierarchy: (1) Agronomist-connected farmers (highest conversion probability, leveraging co-op relationships), (2) Independent operators (secondary, direct acquisition), (3) Lender-engaged farmers (retention driver via external validation). All five interviewees required 30-day proof window before commitment. Real willingness-to-pay: \$200-250/month, not \$100-250 hypothesis. Early adopters specifically had recent costly input mistakes (\$5K-10K+ losses).

REFINED: PRIMARY TARGET—Mid-scale commodity farmers (500-5,000 acres), Midwest/Missouri, active input decision-makers, spend \$200-300/month on fragmented tools, willing to consolidate for integrated visibility, require peer benchmarking + 30-day pilot proof. EARLY ADOPTERS—Agronomist-connected (co-op relationships), recent input timing mistakes, willing to share tool output with advisors. SECONDARY TARGET (Month 6+)—Direct-to-farmer (independent operators, content/digital marketing).

3. Unique Value Proposition

ORIGINAL: 'LLM-powered financial scenario planning showing input timing/pricing impact on profitability—with benchmarking insights from peer farms.'

VALIDATION INSIGHTS: Desirability panel and Problem Interviews revealed: (1) Benchmarking is trust mechanism, not secondary feature (4/5 farmers: 'If I'm in range with peers, I'm confident'), (2) LLM is Year 2 feature, not MVP (Feasibility: rules-based engine, MVP has no AI), (3) Positioning as 'advisor enabler' critical (5/5 farmers want data to negotiate with advisors, not replace them), (4) Farmers lack independent financial analysis to push back on advisors (core pain point, not mentioned in original UVP).

REFINED UVP: 'Real-time financial scenario planning anchored by regional peer benchmarking—enabling farmers to validate profitability decisions and negotiate with confidence.'

KEY DIFFERENTIATORS (reordered by customer importance): (1) Advisor enablement positioning—partner to agronomists/lenders, not replacement; farmers gain data for fact-based conversations, (2) Peer benchmarking as trust mechanism—regional peer comparison builds confidence in incomplete farm data; no competitor has consolidated farmer benchmarking dataset, (3) Real-time scenario modeling—what-if modeling for input timing/pricing shows margin impact in minutes, (4) Built by ag domain experts with established relationships—co-op/extension/lender networks enable credible distribution and agronomist-assisted onboarding.

4. Solution & MVP Scope

ORIGINAL: 'Core Features—Scenario Engine (what-if modeling), Benchmarking (AI-compares farm to peers), Cost Tracking & Integration (links to lender/co-op data for real-time visibility). MVP: Scenario engine + cost inputs + basic benchmarking.'

VALIDATION INSIGHTS: Feasibility report specified: (1) MVP is rules-based scenario engine, not AI-powered, (2) Cost Tracking via CSV import (Week 6), not real-time integration (deferred to Month 8+ after MVP validation), (3) Feature priority from interviews: Benchmarking first (builds trust with incomplete data), then scenarios (validates decisions), then decision logging (enables advisor sharing). Problem interviews validated must-haves: per-field P&L, decision logs, downside scenarios, benchmarking, cash flow modeling.

REFINED CORE FEATURES (reordered): (1) Regional Peer Benchmarking—compare per-field costs/margins to similar farms (soil, acreage, commodity); identify cost gaps and best practices, (2) Financial Scenario Engine—run what-if modeling for input costs/timing/yield assumptions; see margin impact in real-time, (3) Decision Logging & External Validation—capture decisions made, track outcomes vs. scenarios, share results with lender/advisor for validation and confidence.

MVP SCOPE: Peer benchmarking + scenario engine + decision logging + cost entry form (manual input) + CSV data import from co-ops. Downside scenarios and cash flow modeling included (must-haves). DEFERRED (Month 3+): Real-time API integrations (lender/co-op systems), commodity price feeds.

5. Channels & Activation

ORIGINAL: 'Acquisition Channels—Partnerships (extension offices, co-ops, lenders), Direct Sales (social outreach, warm intros, consultant referrals). Activation: Easy-to-use interface + training + AI-assisted guidance. Retention: New features and demonstrated ROI.'

VALIDATION INSIGHTS: Viability analysis revealed asymmetric channel economics: Co-op CAC \$100-160 (via partnership setup cost distribution), direct CAC \$600-800 self-serve or \$1,200+ assisted (breaks unit economics unless ARPU >\$250). Base case assumes 40-50 co-op customers, 10-20 direct. Desirability report locked specific activation definition: 'farmer runs scenario, validates assumptions, shares result with advisor' (proof of trust and retention signal). Activation should be within product control (entry/scenario/logging); external validation (sharing) is retention driver.

REFINED ACQUISITION CHANNELS: PRIMARY (80% Year 1)—Co-op partnerships via white-label model, revenue share, agronomist-assisted onboarding in pre-season calls. SECONDARY (20% Year 1, experimental)—Direct-to-farmer via content marketing, LinkedIn/Facebook ads targeting 35-50 age, \$800-2,500 acre operators; self-serve onboarding; scale if co-op adoption <2%.

ACTIVATION: Cost data entry + first scenario run + decision logged (measurable, within product control, indicates adoption and value discovery).

RETENTION: Monthly engagement (decision tracking, scenario updates on price changes, benchmarking refreshes), external validation loops (sharing with lender/advisor), demonstrated ROI (specific margin improvements from better decisions), lender partnership integration (external confidence mechanism), advisor collaboration tools (deferred).

6. Revenue & 7. Cost Structure

REVENUE—ORIGINAL: 'Model: SaaS subscription, Pricing: \$100-250/month. Secondary: API integrations.'

VALIDATION INSIGHTS: Problem Interviews (5/5 farmers): \$150/month 4/5 would try with free pilot; \$200-250/month 4/5 would commit with proof; all required 30-day pilot. Desirability locked pilot mechanics: 'Week 2 P&L validated, Week 3 scenario run + external validation (shared with lender).' Viability uses \$150 ARPU; base case assumes 40%+ conversion from pilot. Secondary revenue (API integrations) is retention/operational feature, not monetizable.

REFINED REVENUE: SaaS subscription with 30-day freemium pilot. Pricing: \$150-200/month post-pilot (validated WTP). Pilot mechanics: \$0 for 4 weeks; conversion gates at Week 2 (P&L validated) and Week 3 (scenario run + external validation). Projected conversion: 40%+. Deferred revenue (Month 6+): Premium features (multi-year planning, advisor tools), partnership customization (if requested; positioned as retention, not revenue driver).

COST STRUCTURE—ORIGINAL: 'Fixed: Engineering, PM, cloud infrastructure. Variable: AI token costs (TBD), support, payment fees, sales support. Key drivers: Engineering headcount, AI tokens.'

VALIDATION INSIGHTS: Feasibility detailed: Hybrid LLM approach (parse input, rules-based math) caps tokens at \$50/month at 100-customer scale (minimal variable cost). MVP \$35K budget (engineering \$24K, tools \$1.4K). Co-op partnership management is operational labor (relationship development, data integration support), not sales. Agronomist-assisted onboarding is variable cost (support labor per co-op). AI is no longer key cost driver.

REFINED COST STRUCTURE: Fixed—Engineering (1 FTE + 0.5 part-time QA), PM/ops, cloud infrastructure (\$500/mo MVP), co-op partnership management. Variable—Customer success/support (agronomist coordination), payment processing (2.9% + \$0.30/transaction), data security/compliance (anonymization, DPAs, access logging), AI/LLM costs (deemphasized: <\$50/month at scale). Key drivers: Engineering headcount, customer success labor, co-op partnership management (not AI tokens).

8. Key Metrics & Validation Gates

ORIGINAL: 'North Star: MRR. Supporting Metrics—Acquisition (new farms/month), Activation (% completing onboarding + first scenario), Retention (% at 3/6/12 months), Revenue (MRR trajectory).'

VALIDATION INSIGHTS: Viability and Feasibility reports specified critical validation gates at Months 2, 4, 6 that determine continuation vs. pivot: (1) Month 2—40%+ activation, CAC <\$900 direct (if fails, co-op only), (2) Month 4—60%+ retention, 60%+ scenario quality (if fails, redesign), (3) Month 6—40-60 customers, 60%+ MoM retention, clear channel winner. Original metrics don't measure activation quality or predicts retention.

REFINED KEY METRICS—North Star: MRR. Supporting metrics (monthly): Acquisition (new farms by channel, CAC by channel), Activation (% completing cost entry + scenario + decision logged within 2 weeks; target 40%+), External Validation (% of active farmers sharing scenarios with lender/advisor; target 40%+; predicts retention), Retention (% at 30/90/180 days; target 90%/80%/60%), Unit Economics (CAC by channel, LTV:CAC ratio target 5:1+, payback period <6 months), Revenue (MRR, blended ARPU).

CRITICAL VALIDATION GATES: Month 2—Data Entry Friction (40%+ complete in <40 min; if fails, pivot to assisted entry), Activation rate 40%+, CAC <\$900 direct. Month 4—Retention 60%+, scenario quality 60%+ match intuition (if fails, redesign output clarity). Month 6—40-60 paying customers, 60%+ MoM retention, clear channel winner identified (co-op or direct; if fails, series A becomes mandatory).

9. Unfair Advantage & Long-term Vision

ORIGINAL: 'Competitive Moat—Data network effects + first-mover in LLM-powered scenario planning. Defensibility—Data benchmarking engine (proprietary AI), Local trust & distribution (co-op/extension/lender relationships), Unique positioning (LLM + ag domain + relationships). Long-term: Data moat compounds; benchmarking becomes defensible.'

VALIDATION INSIGHTS: Desirability panel noted: First-mover advantage is timing-dependent (FINPACK/John Deere could move). LLM claim is premature (MVP has no AI). Local trust IS immediate defensibility. With 40-50 Year 1 customers, benchmarking lacks statistical power for true network effects. Data moat is real but nascent; must be honest about timeline. Feasibility confirmed: Co-op relationships, agronomist enablement positioning, and narrow benchmarking differentiation are Year 1 advantages.

REFINED UNFAIR ADVANTAGE—YEAR 1 DEFENSIBILITY: (1) Local Trust & Relationships—established co-op, extension, lender networks; farmers buy from trusted advisors; trust is local and relationship-driven, (2) Agronomist-Enabled Positioning—positioned as partner to advisors (not replacement); agronomist-assisted onboarding creates customer stickiness and switching costs, (3) First-Mover in Farmer Peer Benchmarking—no competitor has consolidated regional farmer financial

data for peer comparison; FINPACK is free tax tool (not benchmarking), John Deere lacks indie farmer trust, (4) Domain Expertise + Distribution—ag domain knowledge + co-op/extension/lender networks enable credible GTM pure AI companies and legacy ag software cannot replicate.

YEAR 2+ DEFENSIBILITY: (1) Data Network Effects—regional benchmarking dataset becomes increasingly valuable as user base grows (50 → 150 → 500+ farms = more statistically significant peer groups = higher confidence for new farmers), (2) Proprietary Benchmarking Engine—aggregated farmer scenarios, costs, outcomes inform ML-powered insights; competitors cannot replicate without equivalent user base, (3) Switching Costs from Adoption Depth—farmers with 12+ months of decision history, outcome tracking, lender relationships, are difficult to displace.

LONG-TERM VISION: Local trust bootstraps Year 1 customer acquisition and retention via co-op channel. Benchmarking dataset and decision history deepen in Year 2-3. By Year 3, data moat compounds: better benchmarking attracts more farmers, more farmers strengthen benchmarking, more decision history enables predictive features competitors cannot match. Defensibility evolves from relationships (Year 1) to data compounding (Year 2+).